2,64,034, Capital of Rs 5 crore, Reserve Fund of Rs 6500 crore and Other Reserves of Rs 232 crore). The remaining amount of Rs 1,05,322 crore (including Rs 57,128 crore to be transferred to the Government of India) represented provision for liabilities.

RBI was holding Rs 15.23 lakh crore of capital, including accumulated retained profits of Rs 2.94 lakh crore, as against the capital of Rs 5 crore provided by the law.

RBI's Economic Capital Framework

The RBI Act has no provision for an Economic Capital Framework (ECF). RBI, however, did adopt the ECF in 2016, which was reviewed and a fresh ECF was recommended by the Jalan Committee in 2019. Shorn of its complex terminology, ECF essentially decides how much of its annual surplus RBI will retain with the remaining transferred to the Government of India.

As seen above, the accumulated capital of RBI is essentially made up of two parts: valuation gains/provisions and realized and retained surpluses/profits. The ECF deals with both these aspects of accumulated capital.

Foreign exchange securities, domestic rupee securities and gold holdings make up practically the entire investment assets of RBI. The value of all these assets keep fluctuating according to market movement in prices. The valuation provisions (principally the CGRA in Other Liabilities and Provisions) represent the difference in market value of these securities and gold on the day of the Balance Sheet and the cost at which these securities were purchased or are recorded in the books of RBI.

The first part of the ECF determines how much of the valuation provisions should be there to provide for market risk in case there is downward movement in the value of securities and gold in future.